

“International” and “Commercial” in ICA

TDM Infrastructure

- An application under section 11(5) and 11(6) of the Arbitration Act was filed before the Supreme Court for appointment of arbitrator.
- The respondent challenged this petition on the ground that the court did not have jurisdiction to appoint an arbitrator under those sections.
- The petitioner has argued that in light of the provisions contained in 2(1)(f) read with section 11(6) the Supreme Court alone has jurisdiction to appoint an arbitrator since the dispute amounts to international commercial arbitration.
- This is because the central management and control of the petitioner company is exercised in Malaysia
- However, the court finally held that once it is decided that both companies are incorporated in India and have domiciled in India, the arbitration entered into would not be an international commercial arbitration and therefore the applicability of section 2(1)(f) would not arise.
- Only in a case where a body corporate, which is not necessarily a company registered and incorporated in the Companies Act, for instance, an association or a body of individuals is governed or managed or controlled in any other country other than India, then it shall be for falling under 2(1)(f) clause (iii).

PASL

- The respondents supplied converters to PASL. Disputes arose regarding the warranties on these converters. To resolve these disputes, parties entered into a settlement agreement. Certain warranties were provided under this settlement agreement.
- Clause 6 of the settlement agreement contained a dispute resolution clause whereby if no settlement can be reached through negotiation or then “**all disputes shall be referred and finally resolved by arbitration in Zurich** in the English language in accordance with the rules of the ICC. The arbitration award shall be final and binding on both parties”
- During the arbitration proceedings, Respondent argued that Indian parties have no right to select a foreign seat for adjudicating their dispute and therefore the seat of the tribunal could not be Zurich
- This was challenged by PASL on the ground that there was no statutory bar from selecting a foreign seat between two Indian parties. The arbitrator ruled in favor of PASL and held that while the seat of the arbitration is Zurich, for the convenience of parties the arbitration proceedings can be conducted in Mumbai
- Post-arbitration, PASL, the judgment debtor initiated set-aside proceedings before the courts of Gujarat on the ground that the parties could not have chosen Zurich as the seat of the arbitration. The Gujarat High Court decided against PASL, leading to the present appeal

Court's Position

1. The court found that the seat of the arbitration was Zurich, Switzerland

Clause 6 of the settlement agreement showed that the arbitration was to be resolved in Zurich in accordance with the rules of ICC in *Mankatsu Impex* where it was seen that the phrase “administered in Hong Kong” was conclusive in choosing the seat of arbitration.

PASL had tried to argue that the closest connection test binds the tribunal to Mumbai. However, the court clarified that the closest connection test is not applicable in a case where the parties have explicitly chosen a seat.

2. That Part 1 and Part II of the act are mutually exclusive and the proviso to section 2(2) is not a bridge connecting both parts.

Part 1 deals with arbitrations where the seat is in India and has no application in a foreign seated arbitration.

Part 2 is not concerned with arbitral proceedings at all. It is only concerned with the enforcement of foreign award. Section 45 alone is the exception which deals with referring parties to arbitration. Barring this, Part 2 does not apply to arbitral proceeding once they have commenced outside India.

The definition of international commercial arbitration in section 2(1)(f) is distinct from the purport of the word used in Section 2(2). When it is used in section 2(1)(f) it is intended to denote international arbitration which is seated in India where one of the parties is not Indian conversely international commercial arbitration when used in the context of section 2 clause 2 is only concerned with an is concerned with the arbitration that takes place outside India where assets are situated in India and the interim orders are required qua such assets so therefore section 2(1)(f) is an Indian seated international commercial arbitration whereas section 2(2) is a foreign seated commercial arbitration that may albeit be between two Indian parties

3. Section 44 of the Arbitration Act is seat-oriented and not person-oriented. The four ingredients of a foreign award required under section 44 are satisfied in this case. These are:
 - The dispute must be considered a commercial dispute under the law in force in India
 - It must be made in pursuance of an agreement in writing
 - It must arise between persons without regard to that nationality, residence, or domicile
 - The arbitration must be conducted in a country which is a signatory to the New York Convention

The nationality, domicile, or residence of a party is without relevance to determine whether the award is foreign

4. Party autonomy is the brooding and guiding spirit of arbitration. Nothing stands in the way of party autonomy in designating the seat of arbitration outside India, even when both parties happen to be Indian nationals
5. The New York Convention expands the scope of enforceability beyond the narrower Geneva Convention framework. The Geneva Convention requires that an award must be between persons of whom one is subjected to the jurisdiction of one Party-State and the other is subject to the jurisdiction of some other Party-State. This is a **person-oriented or nationality oriented requirement**. It requires that the parties be subject to jurisdiction of different Contracting States.

New York Convention omits this requirement entirely. The Convention has two criterion.

The first is the territorial criteria which says that the Convention shall apply for the enforcement of an arbitral award made in the territory of the state **other than the one** in which the recognition and enforcement of the award is sought.

The second criteria is the non-domestic criterion. According to this, the convention also applies to arbitral awards that are not considered as domestic awards in the state where the enforcement is sought. Now this is a condition where an award may be made within India but still may be treated as foreign award if it is not considered as domestic within the law of the state for instance an award rendered in India under English procedural law is a English arbitral award whereas an arbitral award rendered in England under Indian procedural law is a non-domestic Indian award.

The jurisdiction of the New York Convention is wider because it does not require parties to be from different contracting states and it introduces the idea of non-domestic award where even if the award is made physically within the enforcing state on the basis of the procedural law applicable, it may still constitute a foreign award.

This is why the court is of the opinion that section 44 which mirrors the non-domestic criteria allows for Indian parties to have foreign-seated arbitrations which are exclusively governed by Part II of the Arbitration Act

L&T v. MMRDA

Court was asked to determine whether an arbitration involving a consortium of companies which included an Indian company and a Malaysian company could qualify as an international commercial arbitration.

It was held that the consortium **did not qualify as an international commercial arbitration** since it was an *association of persons* under section 2(1)(f) clause (iii). The lead member of the consortium was L&T which was an Indian company and the company's office was located in Mumbai. Hence, therefore, the central management and control of the consortium was exercised in India and the requirements of 2(1)(f)(iii) were not satisfied.

Definition of “commercial” - RM Investment v. Boeing

The Supreme Court in RM Investment and Trading Co. Pvt Ltd. vs. Boeing in 1994, laid down a broad and liberal test of determining whether a relationship was commercial in nature.

In this case, RMI was to provide consultancy services to Boeing. RMI argued that the consultancy services were not in the nature of a commercial agreement. However, the court rejected this contention since the sale of aircrafts by Boeing was, an commercial transaction and the consultancy services rendered by RMI were ancillary to the commercial transaction and were itself commercial in nature.

Under the definition of international commercial arbitration, the relation between parties must be in commercial accordance with Indian law. The broad facets of these are as follows

- The nature of services
- Active role in trade
- Payment terms
- Interpretation and object of the act

The consultant played an important role in the sale of aircrafts and therefore it was commercial in nature.